

# Caterpillar Q3 2025 Earnings

Blind Sentiment & Directional Score: Outlook/guidance only

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## Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score  $\in [-1, +1]$ , directional signal  $\in \{\text{BUY, HOLD, SELL}\}$ , structured summary, evidence quotes.
- **HOLD band:**  $|\text{overnight move}| < 2.00\%$ . Above  $+2.00\%$ , BUY is correct. Below  $-2.00\%$ , SELL is correct.
- **Timing rule:** The company releases BEFORE the market open. The overnight move is defined as  $(\text{release-day Open} \div \text{prior-trading-day Close}) - 1$ , the same reaction window shifted because the release lands before trading starts.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Outlook/guidance only** as the ONLY report content. The other sections (the reported financial results, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The  $\pm 2.00\%$  band applies to the overnight move only.

## Report metadata

|                 |                                                                                     |
|-----------------|-------------------------------------------------------------------------------------|
| Company         | Caterpillar Inc. (CAT)                                                              |
| Report          | Q3 2025                                                                             |
| Release date    | Wednesday 29 October 2025, BEFORE the market open                                   |
| Earnings call   | 8:30am ET                                                                           |
| Source          | <a href="#">Official call transcript</a>                                            |
| Read mode       | cold; management outlook/guidance only, no reported results, no Q&A, no price chart |
| Time to produce | 38 minutes                                                                          |

## Source material (read ONLY this)

### Forward guide (assigned source: outlook/guidance only)

- *“With a record backlog, strong order rates, and continued growth in sales to users, our outlook has improved since last quarter. For the fourth quarter, we anticipate strong sales growth versus the prior year”* (Joe Creed, CEO).

- “We now expect full-year 2025 sales and revenues to be higher than we previously anticipated, resulting in modest growth versus 2024” (Creed). Full-year services revenues still expected about flat.
- Tariffs: “we expect the full-year net impact from tariffs to be between \$1.6 billion and \$1.75 billion” (Creed), with the team continuously evaluating options to reduce the impact.
- “Excluding the net impact of incremental tariffs, full-year adjusted operating profit margin is expected to be in the top half of our target margin range”; including tariffs, near the bottom of the range. ME&T free cash flow expected above the midpoint of the \$5B to \$10B target range (Creed).
- Energy and Transportation: “We expect strong growth in full-year sales for Power Generation compared to last year. Demand remains robust, driven by data center growth related to cloud computing and generative AI”, with recent prime power orders from Joule Capital Partners and Hunt Energy (Creed).

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**Your scoring: fill in below, then seal**

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## 1 Sentiment score

**Score: +0.60**

*Rationale.* The outlook was raised on a record backlog, Q4 sales growth is called strong, free cash flow is guided above the midpoint, and power generation demand is tied explicitly to data centre build-out.

## 2 Directional signal

**Signal: BUY**

*Rationale.* A raised guide with an AI-linked demand story attached is the combination that gets paid. BUY.

## 3 Structured summary

- **What the source shows.** Guidance moved up on record backlog, with Power Generation the identified driver.
- **What the source cannot show.** No reported quarter, so cannot see the margin the raise is being built on.
- **Expectations bar.** An industrial with a credible data centre exposure clears a bar set for cyclical decline.
- **Conviction.** Moderate-high conviction: the raise is explicit and the tariff drag is already quantified.

## 4 Evidence quotes

1. “With a record backlog, strong order rates, and continued growth in sales to users, our outlook has improved since last quarter. For the fourth quarter, we anticipate strong sales growth versus the prior year” (Joe Creed, CEO).
2. “We now expect full-year 2025 sales and revenues to be higher than we previously anticipated, resulting in modest growth versus 2024” (Creed). Full-year services revenues still expected about flat.

3. Tariffs: “we expect the full-year net impact from tariffs to be between \$1.6 billion and \$1.75 billion” (Creed), with the team continuously evaluating options to reduce the impact.

— SEALED —

### Overnight move and call verification

|                                                |               |
|------------------------------------------------|---------------|
| CAT close, 28 October 2025 (prior trading day) | \$524.47      |
| CAT open, 29 October 2025 (release day)        | \$558.18      |
| <b>Overnight move</b>                          | <b>+6.43%</b> |

### Call verification

- HOLD band test:  $|+6.43\%| \geq 2.00\%$ , so this is not a HOLD.
- Sign test: The move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **BUY**, correct call **BUY**, so **CORRECT**.

### Horizon returns (pre-registered)

*For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.*

| Horizon                            | Return        |
|------------------------------------|---------------|
| Overnight (baseline for the label) | <b>+6.43%</b> |
| D+1 close                          | +11.63%       |
| D+3 close                          | +10.07%       |
| D+5 close                          | +4.41%        |
| D+10 close                         | +8.29%        |
| D+20 close                         | +8.03%        |